January 2023 Paper 02

Question 1

1(a) Responsibilities of management to stakeholders

State TWO responsibilities of management to EACH of the following stakeholders. (i) Customers (2 marks); (ii) Employees (2 marks)

(a)(i) Responsibilities to customers

- Selling safe, good quality products at fair prices and giving correct information about them in advertising and labels.
- Handling customer complaints quickly and providing refunds, replacements or repairs when goods or services are not as promised.

(a)(ii) Responsibilities to employees

- Paying fair wages and salaries on time and providing benefits such as leave, sick pay and National Insurance contributions.
- Providing a safe, healthy working environment with proper training, equipment and protection from accidents.

1(b) Other stakeholders of a business

Identify TWO stakeholders of a business, other than customers and employees. (2 marks)

- Owners or shareholders, who provide the capital used to set up and run the business.
- The government, which receives taxes from the business and regulates how it operates.

1(c) Strategies to motivate employees

List FOUR strategies that could be used to motivate employees in a business. (4 marks)

- Offering bonuses, profit sharing and other financial rewards for good performance.
- Providing training, promotion and clear career paths so that employees can grow within the business.
- Recognising and praising good work in public, through awards, certificates or worker-of-the-month schemes.
- Improving working conditions, such as comfortable workspaces, flexible hours and team-building activities.

1(d) Benefits of teamwork

Outline TWO benefits of teamwork to the success of a business. (4 marks)

Better problem solving and decision making

When workers come together as a team, they bring different skills, ideas and experiences to a problem. They can discuss options, point out weaknesses in each other's ideas and combine the best parts to come

up with a stronger solution than any one person could find alone. This leads to better decisions and helps the business to handle challenges quickly.

Higher motivation and productivity

Working in a team gives staff a sense of belonging, support and shared responsibility for the result. Members encourage each other and divide the work according to each person's strengths, so tasks are completed faster and to a higher standard. Stronger morale lowers absenteeism and staff turnover, which raises the overall productivity of the business.

1(e) Improving communication at New Harbour Garment Factory

For quite some time, the employees of New Harbour Garment Factory have felt frustrated and shut out as a result of poor communication between themselves and management. Explain TWO strategies that the management of New Harbour Garment Factory could implement to improve communication within the organization. (6 marks)

Hold regular staff meetings and use notice boards

Management can set fixed times each week or month for short meetings between supervisors and workers in each department, where managers explain plans, new rules and changes and workers can ask questions. A notice board near the entrance can be used to display memos, safety reminders and important announcements, supported by emails or a staff WhatsApp group. This makes sure that every worker has the same information at the same time and reduces the feeling of being shut out.

Set up an open-door policy and a suggestion system

Management should encourage workers to come to them at any time with concerns, and a clearly placed suggestion box, supported by an email address or online form, allows shy workers and those on different shifts to share ideas without fear. Managers must respond to suggestions promptly and explain decisions, even when ideas are rejected, so workers see that their voice matters. This two-way flow of information rebuilds trust and removes the frustration that has been growing at the factory.

Question 2

2(a) Contracts

(i) Define the term 'invitation to treat'. (2 marks); (ii) Identify TWO characteristics of a simple contract. (2 marks); (iii) State TWO ways of terminating a contract. (2 marks)

(a)(i) Invitation to treat

An invitation to treat is an indication by one party that they are willing to enter into negotiations and to receive offers from the other party, but it is not itself an offer that can be accepted to form a contract. Examples of invitations to treat include goods displayed on a supermarket shelf, advertisements in a newspaper and items shown in a shop window.

(a)(ii) TWO characteristics of a simple contract

- It can be made in writing, by spoken word or by the conduct of the parties, and does not have to be in a special form.

- Each party must give consideration, meaning that something of value, such as money or goods, must be exchanged.

(a)(iii) TWO ways of terminating a contract

- By performance, when both parties carry out everything they agreed to do under the contract.
- By mutual agreement, when both parties freely agree to bring the contract to an end before all duties have been completed.

2(b) Hire purchase as a specialty contract

Describe TWO features which make a hire purchase agreement a type of specialty contract. (4 marks)

It must be made in writing and signed under seal

A hire purchase agreement is a specialty contract because the law requires it to be put in writing and signed by both parties, often as a deed under seal. Important details such as the cash price, the deposit, the rate of interest, the number and amount of instalments and the rights of both parties must all be set out clearly in the document, which is more formal than an ordinary simple contract.

Ownership of the goods does not pass until the final payment is made

Unlike a normal sale of goods, in a hire purchase agreement the buyer takes the goods home and uses them but does not become the legal owner until the very last instalment has been paid. The seller can take back the goods if the buyer falls behind on the payments under specific conditions set out by law, which is a special rule that only applies to this type of specialty contract.

2(c) Utmost good faith vs indemnity

Distinguish between the insurance principles 'utmost good faith' and 'indemnity'. (4 marks)

Utmost good faith

The principle of utmost good faith requires both the policyholder and the insurance company to disclose all important facts honestly when the policy is being arranged. The policyholder must give true answers about matters such as health, age or the condition of the property being insured. If important facts are hidden, the policy can be cancelled and any claim refused.

Indemnity

The principle of indemnity states that when a loss occurs, the insurance company will only pay enough to put the policyholder back in the position he or she was in just before the loss happened, and no more. The aim is to compensate for the actual loss, not to allow the policyholder to make a profit from the insurance claim.

2(d) Unethical practices and contractual obligations

Explain TWO unethical practices that a business could engage in which could violate its contractual obligations to the government and society. (6 marks)

Tax evasion

A business engages in tax evasion when it deliberately under-reports its sales, hides part of its income or claims false expenses in order to pay less tax than it really owes. This is unethical and illegal because it

breaks the contract between the business and the government to pay the correct amount of taxes. The country loses revenue that should have been used for schools, hospitals and roads, and society as a whole suffers.

Pollution and disregard for environmental rules

A business may dump waste into rivers, release smoke into the air or fail to dispose of dangerous chemicals safely, in order to save the cost of proper treatment. This breaks the licences and environmental regulations that the business agreed to follow when it was registered. The actions damage the health of nearby communities, harm fish and wildlife and pass the cost of clean-up onto the government and ordinary citizens.

Question 3

3(a) Production and productivity

Define EACH of the following terms. (i) Production (2 marks); (ii) Productivity (2 marks)

(a)(i) Production

Production is the creation of goods and the provision of services to satisfy human wants and needs. It involves combining the factors of production - land, labour, capital and entrepreneurship - to produce useful output, measured by the total quantity produced over a given period.

(a)(ii) Productivity

Productivity measures how efficiently the factors of production are used to create output. It compares the output produced with the inputs used, such as labour or capital, and is often expressed as output per worker per hour. Higher productivity means that more is produced from the same amount of resources.

3(b) Types of production

Identify the type of production that takes place for EACH of the following activities. (i) Sugar cane harvesting (1 mark); (ii) Development of townhouses (1 mark); (iii) The creation of a new line of furniture (1 mark); (iv) The provision of online banking (1 mark)

- Sugar cane harvesting: primary production (extractive industry / agriculture).
- Development of townhouses: secondary production (construction industry).
- The creation of a new line of furniture: secondary production (manufacturing industry).
- The provision of online banking: tertiary production (services industry).

3(c) Factors affecting labour productivity

Outline THREE factors that could affect labour productivity. (6 marks)

Education and training of the workforce

Workers who are well educated and properly trained for their jobs can complete tasks faster, with fewer mistakes and better quality. They are also able to use modern equipment and adopt new methods quickly. Poor training, on the other hand, leads to slow work, errors and waste, which lower productivity.

Quality of equipment and technology

When workers are given modern, well-maintained machines, computers and tools, they can produce a much greater output in the same time than if they were using old or broken equipment. Up-to-date technology also reduces physical strain and frees workers to focus on more skilled tasks, which lifts overall productivity.

Working conditions and motivation

Comfortable lighting, clean workspaces, safe equipment and reasonable working hours allow workers to stay healthy and focused. Fair pay, recognition and good relationships with supervisors keep workers motivated, while poor conditions and weak motivation cause absenteeism and low effort, which reduce productivity.

3(d) Strategies to ensure high productivity

Explain TWO strategies that managers could implement to ensure high levels of productivity within an organization. (6 marks)

Provide regular training and clear performance targets

Managers can set up training programmes that teach workers how to use new equipment, follow safety rules and improve their skills. Together with each worker, the manager can also set clear, measurable targets for output and quality, and review progress at regular meetings. When workers know exactly what is expected and have the skills to deliver, productivity rises steadily.

Use rewards and good working conditions to keep workers motivated

Managers can offer bonuses, profit-sharing and small rewards such as gift vouchers for hitting targets, and they can publicly recognise top performers through awards and worker-of-the-month schemes. At the same time, the workplace should be kept safe, comfortable and modern. When workers feel valued and enjoy where they work, they put in more effort and produce more, which raises productivity for the whole organisation.

Question 4

4(a) Market and marketing mix

(i) Define the term 'market' as it relates to marketing. (2 marks); (ii) Identify TWO elements of the traditional marketing mix. (2 marks)

(a)(i) Market

In marketing, a market refers to the group of actual or potential customers who have the willingness and ability to buy a particular product or service. The market is not a physical place but the collection of buyers and sellers who come together to exchange goods, services and money.

(a)(ii) TWO elements of the traditional marketing mix

- Product, which refers to the goods or services offered to satisfy customer needs.
- Price, which is the amount of money customers must pay for the product.

4(b) Reasons for conducting market research

State FOUR reasons for conducting market research. (4 marks)

- To find out the needs, wants and preferences of customers so that the right product can be offered.
- To identify the size of the market, the level of demand and the right price to charge.
- To learn about competitors, including their products, prices, strengths and weaknesses.
- To test new product ideas, advertising messages and packaging before launching them on a wider scale.

4(c) Factors influencing consumer behaviour

Describe THREE factors which influence consumer behaviour. (6 marks)

Income of the consumer

The level of disposable income greatly affects what and how much a consumer buys. A consumer with a high income can afford a wider variety of goods, more expensive brands and luxury items, while a consumer with a low income tends to buy mainly basic items, cheaper brands and goods that are on sale.

Personal taste, age and lifestyle

Each consumer has individual likes and dislikes that are shaped by age, culture, religion, hobbies and lifestyle choices. A young person interested in fashion will buy different clothes from an older person who prefers classic styles, and a vegetarian consumer will avoid meat products no matter how cheap they are. These personal factors strongly guide buying decisions.

Advertising and influence of family and friends

Television, radio, newspapers and especially social media advertising create awareness of products and shape consumer attitudes. The opinions and recommendations of family members, friends, classmates and online influencers also have a big effect, since consumers tend to trust products that people they know say are good. These outside influences often determine which brand a consumer finally chooses.

4(d) Social media to promote sales

Explain TWO ways in which businesses could use social media to promote sales. (6 marks)

Running paid advertisements and targeted campaigns

Businesses can place paid advertisements on platforms such as Facebook, Instagram and TikTok, choosing exactly which age group, location and interest area to target. The ads can include videos, photos and direct links to the online store, so customers can click and buy with minimal effort. Because the ads reach the customers most likely to be interested, they generate more sales for each dollar spent than traditional advertising.

Posting regular content and engaging with followers

By posting product photos, customer reviews, behind-the-scenes videos and special offers, businesses build a loyal following on social media without paying for each post. Replying quickly to comments and messages, working with influencers and running contests or giveaways encourage followers to share the

content with their own friends. This free word-of-mouth advertising spreads the brand widely and steadily increases sales over time.

Question 5

5(a) Managing personal income

Other than saving and investing, state TWO ways in which individuals could manage their personal incomes. (2 marks)

- By preparing and following a written budget that lists income and planned expenses for the month.
- By keeping spending records and avoiding unnecessary borrowing, especially on credit cards and high-interest loans.

5(b) Savings vs investments

(i) Differentiate between 'savings' and 'investments'. (2 marks); (ii) Identify ONE form of savings and ONE form of investments. (2 marks)

(b)(i) Savings vs investments

Savings is money set aside from current income that is kept in a safe place, usually a bank account, to be used at a later date. The amount saved keeps its value and earns a small amount of interest, but it does not grow much. Investments, on the other hand, are funds used to buy assets such as shares, bonds or property with the aim of earning a higher return through dividends, interest or a rise in the value of the asset, but with a higher level of risk.

(b)(ii) ONE form of savings and ONE form of investments

- Form of savings: a savings account at a commercial bank or credit union.
- Form of investments: shares in a public limited company purchased through the stock exchange.

5(c) Capital and financing

(i) Identify TWO personal sources of capital for setting up a business. (2 marks); (ii) Distinguish between 'short-term financing' and 'long-term financing'. Give ONE source of each type of financing. (6 marks)

(c)(i) TWO personal sources of capital

- The owner's personal savings built up from past earnings.
- Money borrowed from family members or close friends.

(c)(ii) Short-term vs long-term financing

Short-term financing

Short-term financing is money borrowed for a period of one year or less, usually to cover everyday operating needs such as paying suppliers, wages or utility bills. It is paid back quickly and tends to carry higher interest rates because of the convenience. One source of short-term financing is a bank overdraft, where the bank allows the business to draw out more than the balance on its current account up to an agreed limit.

Long-term financing

Long-term financing is money raised for periods longer than five years, usually to buy major fixed assets such as buildings, vehicles and machinery, or to expand the business. The repayments are spread over many years, which makes them more affordable. One source of long-term financing is a mortgage loan from a commercial bank, where the bank lends money against the security of the building being purchased.

5(d) Stock market

Explain ONE benefit and ONE risk of investing in the stock market. (6 marks)

Benefit: Potential for high returns through dividends and capital growth

When a person buys shares in a successful company, the company pays out a portion of its profits each year as dividends, which gives the investor a steady income. As the company grows and earns more profit, the price of its shares on the stock exchange usually rises, so the investor can also sell the shares later at a higher price than was paid. Over the long term, well-chosen shares can earn returns that are higher than savings accounts and most other investments.

Risk: Loss of capital if share prices fall

Share prices go up and down depending on how the company performs and on conditions in the wider economy, such as recessions, political events or natural disasters. If the company makes losses or the market crashes, the price of the shares can drop sharply and the investor may receive less than was paid for them. In the worst case, if a company goes out of business, the shares may become worthless and the investor loses the entire amount invested.